

Public policy must accelerate these five transitions because they will change the profile of India's workforce by moving out of roles with low income and low productivity. The only sustainable way to do this is by repairing our broken 3E regime, but our current employment and labour law regime represents an apartheid that discriminates against labour market outsiders (less skilled, less educated, people from small towns, women, etc).

The matching problem (connecting supply to demand) is amplified by the dysfunctional 1,400 employment exchanges which only gave two lakh jobs to the four crore registered. The mismatch problem (repairing supply for demand) is amplified by archaic curricula, untrained trainers and an apprenticeship regime that sabotages "learning by doing" and "learning while earning" (we only have two lakh apprentices, Japan has 11 lakh, Germany six lakh). The pipeline problem (preparing supply for demand) arises because 30 per cent of government schoolteachers do not show up for work everyday and our education and skill systems disdain for "learning for earning" means that it imparts bookish knowledge to 90 per cent of our children even though 90 per cent of jobs need skills.

The solutions are hardly unknown or impossible. Fixing the employment regime needs amending labour laws like the Industrial Disputes Act (giving flexibility for headcount reduction in exchange for humane severance), the Contract Labour Act (creating a framework for organised fixed term jobs), the Trade Union Act (needing union leadership to be firm employees) and the Apprenticeship Act (giving flexibility in licensing, trades and minimum period). We need to convert employment exchanges to career centres that offer assessment, counselling, apprenticeships, certification and jobs.

We need to create competition for the monopoly employer pension (EPFO) and health insurance (ESI) schemes whose atrocious service and poor value for money sabotage enforcement and breed voluntary informal employment. The greatest impact would come from making labour a state subject and giving chief ministers the ability to craft fertile habitats for job creation. Fixing our broken employability or skills regime needs merciless implementation of the National Skill policy, particularly

the operating principles. We also need to create a credible framework and national infrastructure for entry gate binning (assessment) and exit gate signalling (certification). Employment outcomes are 300 per cent higher for English speakers and we must incentivise multi-lingual instruction because English is a vocational skill and like Windows, an operating system for the world of work. We must also incentivise states to form skill development missions because they control delivery systems (schools, colleges, ITIs and employment exchanges).

The current regulatory cholesterol of our higher education system, such as AICTE and UGC, needs to be substituted with an Education Regulatory Authority of India that focuses on outcomes and encourages decentralisation, autonomy and financial self-sufficiency. Government money must create choice and competition, moving from funding institutions (covering their expenses) to funding students (scholarships). We must revisit flaws in honourable legislation like the Sarva Shiksha Abhiyaan (link money to learning outcomes rather than enrolment), NREGA (use money for skill development and apprenticeships), Right to Education Bill (replace provisions for private school capacity confiscation by government with needy student funding innovations) and the Unorganised Social Security Bill (converge delivery with the New Pension Scheme).

India missed her tryst with destiny; today she has 300 million people who will never read the newspaper they deliver, work in the factory they build, or drive the tractor they unload. It is a baffling mystery and tragedy that

barring some empty rhetoric about job losses, the last election campaign largely ignored unemployment and unemployability. The only explanation involves paraphrasing Stalin; a single job loss is a tragedy but millions of unemployed are just a statistic.

It may be true that India does not change for a better option but only when she has no option. But changing our 3E regime before we have to will save 161 million people from poverty over the next 20 years and complete the last leg of our journey from independence to freedom. Because, everything said, an unemployed, unemployable or illiterate Indian is not a free Indian. ■



THE AYATOLLAHS OF EDUCATION HAVE TRIED TO CONTROL QUALITY THROUGH QUANTITY AND NOW WE HAVE NEITHER.